Tra's Morning Macro Brief — Thursday, August 20, 2026

August 20, 2026

Wednesday's modest equity rebound came with a bull-flattening Treasury move, but Thursday begins with a tougher mix: Walmart's key U.S. comparable-sales measure missed consensus, oil is rising for a fifth session, and the July FOMC minutes showed that many participants viewed tightening as likely if inflation did not decline.

At approximately 8:00 a.m. ET, the cross-asset message is mixed rather than decisively risk-on. The S&P 500 closed 0.21% higher Wednesday while the 10-year and 30-year Treasury yields fell 6 and 9 basis points, respectively. This morning, Reuters reports that stock-index futures are muted and bond yields have resumed climbing. Walmart shares are down about 6% before the open after U.S. comparable sales excluding fuel rose 2.6%, short of the 3.8% consensus. At the same time, oil is extending a fifth consecutive advance as the U.S.-Iran war continues to constrain traffic through the Strait of Hormuz. The result is a familiar policy tension: softer consumer evidence alongside persistent inflation and term-premium risk.

Market Snapshot

• **U.S. equities:** The S&P 500 closed Wednesday at **7,707.98**, up **16.22 points (+0.21%)**. Reuters described U.S. stock futures as muted early Thursday, with Walmart's premarket decline weighing on the consumer complex.

• **Treasuries:** Official Treasury data put Wednesday's **2-year yield at 4.19%**, unchanged from Tuesday, while the **10-year fell to 4.65% from 4.71%** and the **30-year fell to 5.19% from 5.28%**. The 2s10s spread narrowed to **46 basis points from 52**, a clear bull-flattening move.

• **Oil:** At 6:32 a.m. GMT, October Brent was **$91.97**, up **$0.35**, while the expiring September WTI contract was **$86.00** and the more-active October WTI contract was **$84.77**. Reuters said both benchmarks were advancing for a fifth straight session after settling Wednesday at their highest since July 24.

• **Walmart:** Shares were down about **6% premarket** after Walmart U.S. comparable sales excluding fuel increased **2.6%**, below the **3.8%** consensus compiled by LSEG. This is the specific sales measure that missed expectations; Walmart's total revenue still rose **5.9% to $187.9 billion**.

Eco Data

• **Walmart signals slower volume, not a broad revenue contraction.** U.S. transactions increased **1.5%** and average ticket rose **1.1%**, compared with a **3.1%** ticket increase a year earlier. Walmart U.S. e-commerce sales grew **24%**, helping the company post positive overall revenue growth despite the comparable-sales miss.

• **Management raised its full-year sales outlook but set cautious near-term earnings guidance.** Walmart now expects fiscal 2027 net sales to grow **4.0%-5.0%**, up from its original **3.5%-4.5%** range, and adjusted earnings of **$2.80-$2.87 per share**. Its third-quarter adjusted EPS range of **$0.62-$0.64** was below the **$0.68** consensus reported by Reuters.

• **Energy inventories complicate the inflation signal.** For the week ended August 14, the EIA reported that U.S. commercial crude inventories increased **4.405 million barrels**, gasoline inventories increased **688,000 barrels**, and distillate inventories fell **1.530 million barrels**. Those builds provide some domestic cushion, but they have not offset the geopolitical premium embedded in global benchmarks.

• **Weekly jobless claims are the next scheduled domestic test.** The release is due at **8:30 a.m. ET**, after this brief's information cutoff. A sustained rise would strengthen the cooling-demand narrative; a low reading would leave the Fed with less evidence that labor conditions are absorbing restrictive policy.

Fed / Rates

• **The July decision was a 9-3 hold.** The FOMC maintained the federal-funds target range at **3.50%-3.75%** at its July 28-29 meeting. Three members dissented in favor of a 25-basis-point increase.

• **The minutes' hawkish condition was explicit.** Many participants assessed that policy tightening would likely be necessary **if inflation did not decline**. The minutes did not state the narrower condition that inflation had to intensify or inflation expectations had to move higher. Several participants favored an immediate 25-basis-point increase, while most supported holding the target range steady.

• **The long end remains the market's pressure point.** Wednesday's decline in 10- and 30-year yields eased financial conditions at the margin, but Reuters reported that yields resumed climbing Thursday morning. The unchanged 2-year yield and larger declines farther out the curve show that Wednesday's move was concentrated in duration rather than a broad repricing of the policy path.

• **The next scheduled FOMC meeting is September 15-16.** That timing leaves the committee with nearly four weeks to assess whether inflation is actually declining, as the minutes' condition requires, and whether higher energy costs are affecting expectations or demand.

Geopolitics and Energy

• **The Strait of Hormuz remains the central transmission channel.** Reuters reported that shipping traffic on Wednesday was little changed from Tuesday and remained far below prewar levels. Before the war began on February 28, roughly **one-fifth of global oil consumption** moved through the strait.

• **Regional commercial ties are deteriorating.** The United Arab Emirates suspended all financial and economic transactions with Iran until further notice. That action adds a regional financial dimension to a conflict already affecting physical energy flows.

• **The futures curve requires careful reading today.** September WTI, which is approaching expiration, traded at $86.00, while the more-active October contract was $84.77. The contract gap makes a single “WTI price” less informative; the fifth straight advance across both Brent and WTI is the cleaner macro signal.

What to Watch Today

• **Jobless claims at 8:30 a.m. ET:** the first scheduled U.S. labor release after this brief's cutoff.

• **Walmart management commentary:** traffic, discretionary categories, trade-down behavior and the reason third-quarter EPS guidance trails consensus.

- **The Treasury reversal:** whether the 10-year can remain near Wednesday's 4.65% close after yields resumed climbing this morning.
- **Oil contract rollover:** whether strength persists in October WTI rather than remaining concentrated in the expiring September contract.
- **Fed communication:** any effort to reconcile the minutes' conditional tightening bias with softer consumer evidence and the renewed energy shock.

Bottom Line

The morning setup is less about a single risk-off catalyst than about a difficult combination. Wednesday delivered a modest equity gain and meaningful relief in long Treasury yields. Thursday opens with some of that rates relief reversing, a benchmark consumer company missing the market's preferred U.S. sales measure, and oil extending a five-session rally.

For the Fed, the July minutes establish the correct test: many participants viewed tightening as likely if inflation did not decline. Walmart's results add evidence of consumer moderation, but the energy shock works in the opposite direction. That makes the September 15-16 meeting a live inflation-versus-demand debate, not a clean one-way call. Today, the most useful signals are the quality of Walmart's demand commentary, the post-8:30 claims response, and whether the rise in oil and yields persists beyond the opening repricing.

Source Appendix

- **Claim — the S&P 500 closed August 19 at 7,707.98, up 16.22 points or 0.21%:** Reuters, “Wall St futures muted as bond yields resume climb; Walmart drops after results,” August 20, 2026. Direct URL: https://www.reuters.com/business/us-stock-futures-muted-bond-yields-resume-uptrend-ahead-walmarts-earnings-2026-08-20/
- **Claim — U.S. stock-index futures were muted, bond yields resumed climbing and Walmart shares fell about 6% premarket on August 20:** Reuters, “Wall St futures muted as bond yields resume climb; Walmart drops after results,” August 20, 2026. Direct URL: https://www.reuters.com/business/us-stock-futures-muted-bond-yields-resume-uptrend-ahead-walmarts-earnings-2026-08-20/
- **Claim — on August 19 the 2-year Treasury yield was 4.19%, the 10-year was 4.65% and the 30-year was 5.19%, versus 4.19%, 4.71% and 5.28%, respectively, on August 18:** U.S. Department of the Treasury, Daily Treasury Par Yield Curve Rates, 2026 data. Direct URL: https://home.treasury.gov/resource-center/data-chart-center/interest-rates/pages/xml?data=daily_treasury_yield_curve&field_tdr_date_value=2026
- **Claim — the 2s10s spread narrowed to 46 basis points from 52 basis points:** Calculation from U.S. Department of the Treasury, Daily Treasury Par Yield Curve Rates, August 18-19, 2026. Direct URL: https://home.treasury.gov/resource-center/data-chart-center/interest-rates/pages/xml?data=daily_treasury_yield_curve&field_tdr_date_value=2026
- **Claim — Walmart U.S. comparable sales excluding fuel rose 2.6%, total revenue rose 5.9% to $187.9 billion, transactions rose 1.5%, average ticket rose 1.1% and Walmart U.S. e-commerce sales grew 24%:** Walmart Inc., Fiscal 2027 Second Quarter Earnings Release, August 20, 2026. Direct URL: https://www.sec.gov/Archives/edgar/data/104169/000010416926000145/earningsreleasefy27q2.htm
- **Claim — Walmart's comparable-sales result trailed the 3.8% LSEG consensus, its shares fell about 6% premarket and its $0.62-$0.64 third-quarter adjusted EPS guidance trailed the $0.68 consensus:** Reuters, “Walmart reports rare comparable sales miss as consumers pare back

spending," August 20, 2026. Direct URL: https://www.reuters.com/business/walmart-reports-rare-comparable-sales-miss-consumers-pare-back-spending-2026-08-20/

• **Claim — Walmart raised its fiscal 2027 net-sales growth outlook to 4.0%-5.0% from 3.5%-4.5% and projected adjusted EPS of $2.80-$2.87:** Walmart Inc., Fiscal 2027 Second Quarter Earnings Release, August 20, 2026. Direct URL: https://www.sec.gov/Archives/edgar/data/104169/000010416926000145/earningsreleasefy27q2.htm

• **Claim — the FOMC voted 9-3 to hold the federal-funds target range at 3.50%-3.75% on July 29, with three members preferring a 25-basis-point increase:** Federal Reserve, Minutes of the Federal Open Market Committee, July 28-29, 2026. Direct URL: https://www.federalreserve.gov/monetarypolicy/fomcminutes20260729.htm

• **Claim — many participants assessed that policy tightening would likely be necessary if inflation did not decline; several favored an immediate 25-basis-point increase, while most supported holding the range steady:** Federal Reserve, Minutes of the Federal Open Market Committee, July 28-29, 2026. Direct URL: https://www.federalreserve.gov/monetarypolicy/fomcminutes20260729.htm

• **Claim — the next scheduled FOMC meeting is September 15-16, 2026:** Federal Reserve, FOMC Meeting Calendars. Direct URL: https://www.federalreserve.gov/monetarypolicy/fomccalendars.htm

• **Claim — at 6:32 a.m. GMT October Brent traded at $91.97, up $0.35; September WTI traded at $86.00; October WTI traded at $84.77; and both benchmarks were advancing for a fifth session after their highest settlements since July 24:** Reuters, "Oil prices rise as investors assess U.S.-Iran war outlook," August 20, 2026. Direct URL: https://www.reuters.com/business/energy/oil-prices-steady-investors-assess-us-iran-war-outlook-2026-08-20/

• **Claim — Strait of Hormuz shipping traffic on August 19 was little changed from August 18, remained far below prewar levels and had carried roughly one-fifth of global oil consumption before the war began on February 28:** Reuters, "Oil prices rise as investors assess U.S.-Iran war outlook," August 20, 2026. Direct URL: https://www.reuters.com/business/energy/oil-prices-steady-investors-assess-us-iran-war-outlook-2026-08-20/

• **Claim — the United Arab Emirates suspended all financial and economic transactions with Iran until further notice:** Reuters, "Oil prices rise as investors assess U.S.-Iran war outlook," August 20, 2026. Direct URL: https://www.reuters.com/business/energy/oil-prices-steady-investors-assess-us-iran-war-outlook-2026-08-20/

• **Claim — for the week ended August 14, U.S. commercial crude inventories rose 4.405 million barrels, gasoline stocks rose 688,000 barrels and distillate stocks fell 1.530 million barrels:** U.S. Energy Information Administration, Weekly Petroleum Status Report, Table 1. Direct URL: https://ir.eia.gov/wpsr/table1.csv

• **Claim — weekly unemployment-insurance claims were scheduled for publication at 8:30 a.m. ET on August 20:** U.S. Department of Labor, Unemployment Insurance Weekly Claims. Direct URL: https://www.dol.gov/ui/data.pdf

This brief is for informational purposes only and does not constitute investment advice, a recommendation, or an offer or solicitation to buy or sell any security. Figures reflect publicly reported official and tier-1 data available as of approximately 8:00 a.m. ET on August 20, 2026 and are subject to revision.